Expecting a long-term debt fund to give you returns in the short run is like expecting an airplane to take you to the local market. I remember a conversation I had with a senior officer of the Ministry of Finance. I was a member on the Bose Committee that the government had set up to look at issues of mis-selling and consumer protection in retail finance, and we were discussing investor protection.

The finance ministry mandarin wanted to know why his debt fund was not giving a good return. I asked what he was holding. He had a long-term bond fund and he exited in a year with a loss, because he wanted a long-term product to work in the short term.

Repeat after me. ***I need a short-term product for my short-term needs. I need a medium-term product for my medium-term needs. I need a long-term product for my long-term needs***. I must match my investment horizon to that of the fund I buy. My outcome will depend on how well I understand the product I buy. I will not sit in a bullock cart if I need to cover a very long distance. I will not sit in a plane if I need to go across the city. Each of the debt fund categories serves a purpose and can replace the existing products we use.

Why will we replace? We replace them if we get a better post-tax return at an acceptable level of risk. You need to remember that debt funds are not risk-free. The risk that you need to watch out for is called 'credit risk'. When your fund buys high-risk papers, it can get a higher rate of interest.

It buys this type of paper to make the fund performance look better. Till the time there is no default, or the borrowing firm pays back interest and principal on time, things are good. But if they default, and the fund has a large amount invested in the firm, you could lose money.

I use debt funds to keep my emergency money, to keep money that I need in the next eighteen months. For horizons more than that, I use a balanced fund. We'll get to balanced funds in a bit.

Gold funds

These are funds that invest in gold. They buy actual gold and track the price of gold in real time. The product is called a gold exchange traded fund (ETF).